ANTI-CORRUPTION COMMISSION

COMMISSION MEETING FORM

MEETING NO. 21st Commission Meeting

DATE: 16 Oct. 2018

TIME: 3:30 pm

VENUE: Chairperson's Chamber

#	AGENDA	DECISIONS
1.	Status of backlog complaints qualified for investigation assigned to DoI - DoI *Reducing backlog of complaints that qualified for investigation is one of the priorities of the Commission.*	Of the 54 backlog complaints that qualified for investigation, five cases have already been assigned for investigation. Commission directives: • Director to meet with the Chiefs to discuss and strategize. The way forward should take stock of all the complaints that qualified but are yet be assigned for investigation and also the current workload of all the teams. • DoI to present the strategic proposal to the Commission on or before 25 October, 2018.
2.	The proposed MoU to be signed with CFSL, Kolkatta – PPS *With reference to 17th Commission meeting held on 10 April, 2018.* *In response to CFSL's letter vide CFSL(K)/18/DS/MoU/Bhutan/3453 to submit the proposal of signing MoU through formal channel involving the Ministry of Home Affairs and the Ministry of External Affairs of India.*	• In view of the benefits of having a dedicated MoU with relevant agencies, the Commission decided to sign MoU with CFSL, in principle. The Commission noted that the ACC has not yet received the evidence sent for forensics in the last week of March this year. • However, this proposal cannot be pursued immediately in view of Lhengye Zhungshog's directive *"to hold the signing of the MoU" issued vide C-3/151/879 dated 7 March 2018.* • PPS to remind the Commission and send the proposal at an appropriate time.
3.	Judgment implementation of case related to M/S Tashi Enterprise - LD *The proceeds of auction of Nu. 6,113,821.98 was ordered to be restituted. However, two of the trucks were hypothecated with the BNB and still have outstanding loan of Nu. 961,945.5 (approximately).* *It was an oversight by the ACC not to mention about the outstanding loans in the report submitted to the OAG nor informed the Attorney concerned before/during the prosecution.*	• Commissioner Jamtsho and LD to meet the AG to inform about the lapses, admitting the ACC's oversight. Accordingly rectify and come up with appropriate solution in consultation with OAG.

4.	Proposal to enrich internal control services – DoPE	• Endorsed DoPE's recommendation to reinforce the role of Internal Auditors (IAs) to act as a focal point in the agencies to lead implementation of CRM and IDT tools. This is towards enhancing internal control frameworks of the agencies (note attached). • DoPE to share the proposal with the Internal Audit Section of the MoF. Accordingly can work towards incorporating the roles and responsibilities in the existing ToR of the IAs. • Recognizing coordination issues, identification of ACC's focal persons in the agencies will have to be gradually streamlined.
5.	Draft agenda for the 2nd Quarterly Staff Meeting- PPS	• Decided on the theme and agenda for the 2nd Quarterly Staff Meeting to be held at the RITH Conference Hall. The regular staff meeting to be followed by 'experience sharing session' by the President of the ISM.

Commissioner **Commissioner** **Chairperson**

22/10/18

Note on
Proposal to Enrich Internal Control Services

Importance of Internal Control System

The fourth strategic objective in National Integrity and Corruption Strategy (NIACS) is strengthening of systems to prevent and combat corruption. The idea is to put in place dynamic systems to prevent or reduce fraud and corruption to an incidence level. This means systemic weaknesses have to be largely addressed at an organizational level through preventive and detective controls. This approach is in line with Committee of Sponsoring Organization's (COSO) Internal Control – Integrated Framework. It is one of the most widely used frameworks today. It has five integrated components comprising of:

- ✓ Control environment;
- ✓ Risk assessment;
- ✓ Control activities;
- ✓ Information and Communications; and
- ✓ Monitoring activities.

The third component of COSO framework i.e. controls activities talks about preventive and detective controls for prevention and reduction of potential fraud, waste and abuse in organizations. Control activities, performed at all levels of the entity, are the actions established through policies and procedures to mitigate risks. Therefore, effective internal control is an important part of preventive measures in curbing corruption.

Internal control promotes effectiveness and efficiency of operations, reduces the risk of asset loss, and helps to ensure compliance with laws and regulations. Effective internal control helps an organization achieve its objectives. It is a built-in part of the management process (i.e., plan, organize, direct and control). It keeps an organization on course toward its objectives and the achievement of its mission, and minimizes surprises along the way.

The central theme of internal control is to identify risks to the achievement of an organization's objectives and to do what is necessary to manage those risks. A risk is anything that could jeopardize the achievement of an objective. Risk assessment is the identification and analysis of risks associated with the achievement of operations, financial reporting, and compliance goals and objectives. This, in turn, forms a basis for determining how those risks should be managed.

Roles and responsibilities of IAs

Internal auditors review and evaluate the financial and operational controls put in place by management, including those which prevent and detect corruption. Internal auditors identify weaknesses or failures to implement these controls and make recommendations to improve them (ICAC, New South Wales).

As per Institute of Internal Auditors (IIA), Internal Auditors plays a key role in:

- ✓ Advocating formalisation of an internal control and risk management framework going beyond purely financial controls to include wider control environment, code of ethics/conduct and fraud and corruption prevention plans;

- ✓ Educating the management and public officials on the potential risks related to operations; and

- ✓ Improve proficiency and professionalism to increase auditors' ability to evaluate fraud and corruption risks and to detect fraud and corruption as swiftly as possible.

In brief, IAs are on the forefront, working with management to identify risks and risk mitigation strategies including auditing and monitoring of compliance with organisation programs.

The National Internal Control Framework (NICF), Ministry of Finance also requires that the internal audit work must be based on risk assessment. The NICF further emphasis that internal audit report should contain issues pertaining to internal controls, compliance, fraud awareness and prevention and performance related observations.

Instruction from the Commission

Corruption Risk Management (CRM) is one of the preventive tools used by the Anti-Corruption Commission (ACC). To improve its effectiveness, the ACC with the help of a Risk Management Consultant from Malaysia switched over to new Malaysian model last year in 2017. In this context, a lesson learnt on and way forward for new CRM was presented to the Commission on 23/8/2018. In order to mainstream CRM in organizations, training of Internal Auditors (IA) or HROs as focal person was one proposal in the presentation. In the ensuing discussions on this proposal, the Commission felt that training of IAs as ACC's focal person is one way to roll out CRM and other prevention tools in all the organizations. Therefore, the Commission instructed DoPE to come up with a note, as to why and how to utilize IAs for this purpose.

Internal Audit Units in Bhutan

To enhance good governance, the Government decided to institute Internal Audit Service as an integral part of the internal control framework to enhance efficiency, effectiveness, transparency and accountability in its operations. Accordingly, Internal Audit Units were established on 1st June 2000 (Ministry of Finance).

It is also reflected in the very recent Resolutions of the 11th Session of the 2nd Parliament (National Assembly) stating that the government must strengthen the Inter Audit Units of the different agencies.

Functionally operating under the Secretariat, Ministry of Finance, the Central Coordinating Agency (CCA) *(established in 2010 through Internal Audit Charter in keeping with Section 23 (O) of the Public Finance Act of Bhutan 2007)* looks after the 32 Internal Audit Units in10 ministries, 20 dzongkhags and 2 autonomous agencies with 48 Internal Auditors.

The Internal Audit Charter describes that the mission of the Internal Audit Service is to provide the management in Government agencies with independent, objective assurance and advisory services designed to add value and to improve operations. Internal audit brings a systematic and disciplined approach to evaluating and improving the effectiveness of risk management, control and governance processes.

Relevance of Internal Auditors as ACC Focal Person

1) Internal Auditors have good knowledge about systems in agencies. Responsibilities of IAs related to risk assessment and corruption given in the Internal Audit Charter are as follows:

- ✓ Develop an annual audit plan based on comprehensive risk assessment and submit to the Management for approval and endorse a copy of approved plan to CCA for reference;

- ✓ Notify appropriate authority of any significant corruption (criminal) offences recognized or detected during the course of internal auditing.

2) From the above mentioned responsibilities, it is clear that IAs are already performing functions related to risk assessment and reporting of corruption offences. Therefore, the new assignment as ACC's focal wouldn't impose much additional work to the IAs.

3) Moreover, the National Internal Control Framework (NICF) of the Ministry of Finance mentions that internal controls at various levels of management would help reduce irregularities and corruption thereby supplementing the role of the Royal Audit Authority (RAA) and the Anti-

Corruption Commission (ACC) of Bhutan. How Internal Auditors should and would supplement the internal control functions in agencies is elaborated in Chapter 9 in the NICF as one of the best practice internal control ways. Therefore, coordination and collaboration between ACC and Internal Audit Units can also be forged on the basis of functional similarities as mentioned in NICF.

4) Agencies have to conduct risk assessment as part of their Organizational Integrity Plan (OIP). Moreover, Internal Auditors as part of their Individual Work Plan has to conduct risk assessment in their respective agencies. These tasks would be achieved more efficiently once IAs as focal would be trained on CRM and other prevention tools.

Besides CRM, there are other common mandatory OIP activities that agencies have to implement in 12th FYP and relevant in context of system level tools that can be assigned to IAs are as follows:

- ✓ Dedicate a day or session for the organisations to sensitize on the principles of transparency, accountability & integrity to remind all staff;
- ✓ Train leaders/avail trainings on leadership programs;
- ✓ Conduct risk assessment in vulnerable sectors and implement its recommendations;
- ✓ Institute functions of Internal Audit or strengthen internal audit services;
- ✓ Develop/strengthen or create awareness on service delivery standards (administration, accounts, HR, procurement, ICT);
- ✓ Enhance system of documentation on disciplinary actions.

Therefore, IAs can cover many mandatory activities from the agency's OIP such as strengthening their own services, developing service delivery standards and conduct of system study as part of enhancing systems for documentation.

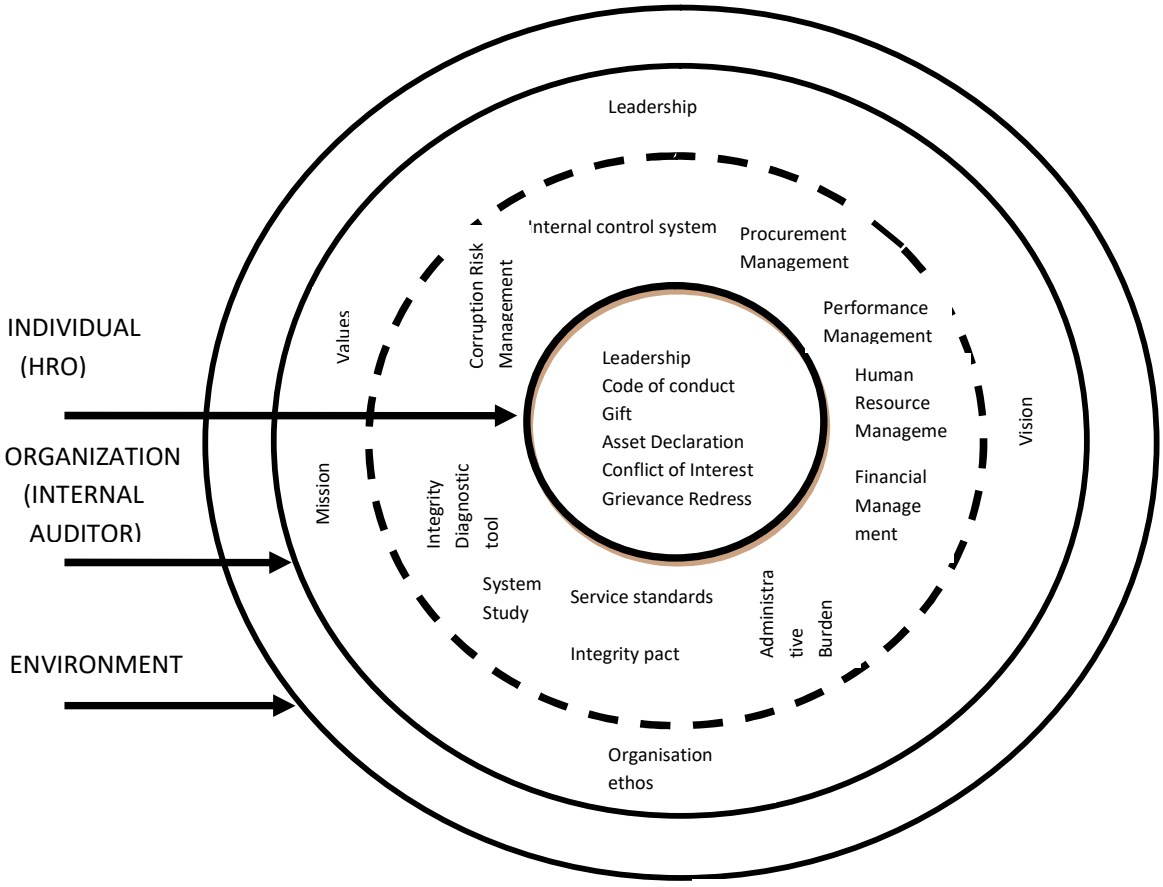
5) Human Resource Officers as Integrity Advocates in agencies are already responsible for five prevention tools. They would be over burdened if they have to work as focal for other tools as well. Therefore, an option, not to overburden HROs and to optimize on existing human resource in agencies is to involve IAs as focal person for other prevention tools at system level. It also creates an avenue whereby Internal Auditor and HRO could work as team for coordination and efficiency in fulfilling organizational goals of agencies related to anti-corruption measures.

6) Conducting of CRM is a lengthy process. It is estimated that about 30 days is required to complete one CRM. The financial implication as well as pressure on the limited human resource would be too huge if CRMs are to be conducted in all the dzongkhags (including schools and

gewogs) by ACC alone. Therefore, ACC can take advantage of the presence of Internal Audit Units in 32 agencies with 48 IAs to collectively mainstream integrity measures at system level.

Assignment of Prevention Tools

The tools assigned to HROs and IAs is based on the diagram below.



(*Adapted from NIACS 2014-2018*)

Structure for Building Systems of Integrity

I. Five Prevention Tools consisting of Code of Conduct, Gift, Asset Declaration, Conflict of Interest Management and Grievance Redress Mechanism at individual level within the inner circle (refer diagram above) has been already assigned to Integrity Advocates or HROs in Organizations.

II. CRM, IDT and Service Delivery Standards and Administrative Burden in an Organization/systems level (refer diagram above) is now proposed to be assigned to Internal Auditors. Administrative Burden (AD) assessment tool popularly known as Standard Cost Model (SCM) is assigned to Internal Auditors because the tool is very relevant for them in ensuring quality and coherent regulations towards achieving efficient and better service delivery. This would in turn help prevent corrupt

practices that arise due to ambiguous, excessive, conflicting and unclear rules and regulations.

Training to Internal Auditors

A preliminary approach as to how to integrate IAs as focal person is by training them on prevention tools.

- ✓ To bring on board IAs as focal for corruption prevention tools, they have to be first given training on tools by the ACC.

- ✓ Training on tools has to be prioritized based on capacity of ACC.

- ✓ Initially, the aim is to impart training on Corruption Risk Management and Integrity Diagnostic Tool and gradually include training on Administrative Burden tool as well.

- ✓ Training on Corruption Risk Management and Integrity Diagnostic Tool can be started from 2019 or later depending on capacity of prevention division staff. For CRM, after implementing it in Dzongkhags as planned in 2018 and for some other agencies, it is hoped that the Prevention Division staff would gain fairly good knowledge, practice and experience to conduct similar trainings on CRM for IAs.

- ✓ By the end of current financial year, the draft CRM manual is also expected to be finalized. It can then be used as one of the established reference documents for training purpose and also would aid IAs for conduct and implementation of CRM in their organization.

In the long run, the role of IAs as ACC's focal for prevention tools at system level has to be reflected in their roles and responsibilities. It will then be part of their Individual Work Plan to facilitate corruption prevention activities in the OIP. For follow up on OIP, procedures for monitoring and evaluation (M&E) of action plan needs to be developed. In this way, the linkage between Individual Work Plan, OIP and M&E is created to complete the circle of activities (of tools), their implementation and M&E in full.